The Tatas adopted an open mechanism to distribute funds through its trust with its companies being free to contribute to it. Other non-Tata companies could also do likewise. The political parties were funded with the onset of elections. The funds are distributed in a manner that ensures that the scheme is ‘absolutely fair’, said Vyas. The other trusts, on the other hand, have generally used their discretion in funding political parties.

Many corporates followed Ratan’s example of funding political parties through trusts. In 2013, the government approved a scheme called the Electoral Trusts Scheme. It was in principle similar to what was incubated by Ratan. The contributions made by electoral trusts were made eligible for tax deduction under the Income Tax provisions. In 2018, another scheme called the Electoral Bonds Scheme was launched. But it was opaque and there was no mandatory requirement to reveal the details of the donations to various parties.

Over the years, however, the idea of electoral trusts had also gained more acceptance. As of 9 September 2021, eighteen other trusts had been established by various corporations under Section 25 of the Companies Act, 1956.

In February 2024, the raison d’etre of Ratan in formulating an electoral trust, as opposed to any other mechanism, got the imprimatur of Supreme Court of India when it struck down the electoral bonds scheme. It was declared unconstitutional on the ground that the ‘non-disclosure of information on voluntary contributions to political parties under the Electoral Bond Scheme and the amendments to Section 29C of the RPA, Section 182(3) of the Companies Act and Section 13A(b) of the IT Act are violative of the right to information of citizens under Article 19(1)(a) of the Constitution’ of India.

In another case, in March 2024, a bench headed by the Chief Justice of India D.Y. Chandrachud declared that there is an ‘existing legal regime [that] provides another alternative in the form of Electoral Trusts through which the objective of curbing black money in electoral financing can be achieved’.

As compared to the electoral bonds, the electoral trusts achieve further transparency as their annual reports ‘containing details of contributions received and disbursed by them to political parties’ are mandated to be sent annually to the ECI (Election Commission of India). The principles underpinning the electoral trust of Ratan thus got the stamp of approval